

Well Spacing

Drilling and spacing units · Oklahoma and Texas

What spacing is

Spacing rules set how many wells may be drilled in an area and where they may sit. The point is to prevent waste and to protect the correlative rights of everyone with an interest in a common source of supply, so one owner cannot drain the reservoir at the expense of the neighbors. Oklahoma and Texas reach that goal through different agencies and different tools.

Oklahoma: drilling and spacing units

Oklahoma has regulated well spacing since the Well Spacing Act of 1935. Today the Oklahoma Corporation Commission establishes drilling and spacing units for a common source of supply under [52 O.S. § 87.1](#). The Commission fixes the size and shape of the unit and, as a general rule, allows one well per unit until it authorizes more through an increased density order. Unit size follows the reservoir: shallow oil is often spaced on 40 or 160 acres, while deeper gas is commonly spaced on 640 acres. An operator that needs to drill off the standard pattern applies for a location exception. Spacing is the step that comes before pooling. Once the unit exists, the operator brings the owners in the unit together by lease or agreement, and forces the holdouts in through a pooling order (see the Oklahoma Forced Pooling reference). Spacing also drives the statutory Pugh clause: for a unit of 160 acres or more, leasehold outside the unit releases 90 days after the primary term under § 87.1(b).

Oklahoma	Detail
Agency	Oklahoma Corporation Commission
Authority	52 O.S. § 87.1 (spacing regulated since the Well Spacing Act of 1935)
Unit	A drilling and spacing unit for a common source of supply, one well per unit as a rule
Typical sizes	40 or 160 acres for oil, 640 acres for deep gas, set by the Commission for the reservoir
More wells	An increased density order authorizes additional wells in the unit
Off-pattern well	A location exception for a well that cannot meet the standard location
Ties to	Pooling (52 O.S. § 87.1) and the statutory Pugh clause (§ 87.1(b))

Texas: statewide rules, field rules, and proration units

The Railroad Commission of Texas handles spacing through its statewide rules and field-specific rules rather than by pre-set units. Statewide Rule 37 sets minimum distances between a well and the lease lines and between wells, and Statewide Rule 38 sets density, the acreage a well must have around it. For a given field the Commission can adopt field rules that change those distances and densities. Each well is assigned a proration unit, the acreage credited to it for allowable purposes. An operator who cannot meet the spacing or density rule applies for a Rule 37 or Rule 38 exception, which is heard by the Commission. Texas relies mainly on voluntary pooling to combine tracts, with the Mineral Interest Pooling Act (Texas Natural Resources Code Chapter 102) as a limited backstop, so it does not force-pool the way Oklahoma does.

Texas	Detail
Agency	Railroad Commission of Texas
Spacing	Statewide Rule 37 (16 TAC § 3.37), distance from lease lines and other wells
Density	Statewide Rule 38 (16 TAC § 3.38), acreage per well
Field rules	The Commission may set field-specific spacing and density that override the statewide rules
Proration unit	Acreage assigned to a well for its allowable
Exceptions	Rule 37 / Rule 38 exception, granted after a hearing
Pooling	Voluntary pooling, with the Mineral Interest Pooling Act (Nat. Res. Code Ch. 102) as a limited backstop

The practical difference

Oklahoma is a spacing-and-pooling state: the Commission lays out units and can force the owners in. Texas is a spacing-and-permitting state: the Railroad Commission regulates where wells sit through Rule 37, Rule 38, and field rules, and leaves the combining of tracts mostly to private pooling. A landman working a unit in Oklahoma reads the spacing order and the pooling order. A landman in Texas reads the field rules, the proration unit, and the pooling provisions of the leases.

Notes for landmen

Topic	Note
Oklahoma	Pull the spacing order for the section and source of supply. It tells you the unit size, the permitted well, and, with the primary term date, whether the statutory Pugh clause has released outside acreage.
Read the full spacing history	Spacing orders often amend earlier ones rather than replace them, and a section can be spaced differently for different formations and depths. Read the whole spacing history for the section, not just the most recent order, to see the current picture across all sources of supply.
Texas	Check the applicable field rules and the well's proration unit, and read the lease pooling clause, since spacing alone does not combine tracts or hold acreage.
Common source of supply	Spacing is set per reservoir. The same surface acreage can carry different units for different formations, so confirm which source of supply the order or field rule covers.

This reference is prepared for use by landmen and title professionals as a working field tool. It is not legal advice and does not substitute for the advice of qualified oil and gas counsel. Doctrines and statutes change and turn on the exact language of each instrument and the facts of each chain of title. Confirm any conclusion against the current statutes and case law, and refer complex or disputed matters to a licensed attorney in the state involved. Citations are to 52 O.S. § 87.1, 16 TAC §§ 3.37 and 3.38, and Texas Natural Resources Code Chapter 102.

